TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Source: The Conversation (Jak Kakhkharov, ACU), 11 Nov 2026
Wednesday 11 November 2026

Why Australia's inflation is so stubborn, and why rates can't fix it alone

> Underlying inflation in Australia is stuck around **3.5–3.6%**, while in the US, UK and Canada it has fallen towards 2–2.5%. Finance academic **Jak Kakhkharov** argues the cause is now mainly **supply constraints**, which interest rates can only partly address.

WHAT HAPPENED

- **Tougher RBA:** five rate rises in 2026, compared with one rise in the past two years in each of the US and UK.
- **Headline vs underlying:** Australia hasn't always had the highest headline inflation (the UK and US were higher at times in 2025), but its inflation has been **more persistent** through late 2025 and 2026.
- **Supply constraints:** a housing shortage (higher rents and building costs), dearer oil, electricity and gas, and skilled labour shortages.
- **Data centres:** the investment surge is adding to demand for energy, materials and construction workers. It should lift productivity later but adds to inflation now. Some economists also blame high state and federal **government spending**.
- **Mortgages:** most Australian home loans are **variable rate**, so rate rises hit households faster than in countries where fixed rates dominate.
- The RBA now expects inflation to return to the 2–3% band only by **late 2027**.

Trimmed mean: the RBA's preferred underlying inflation measure
Supply constraint: costs or shortages that stop output keeping up with demand
Cost-push inflation: prices rise because production costs rise

KEY NUMBERS

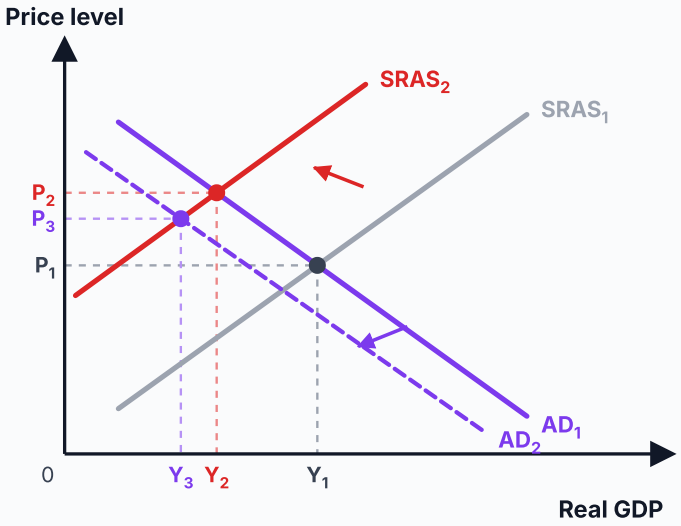
3.5–3.6%
Australia's trimmed mean inflation (US/UK/Canada ~2–2.5%)

5 vs 1
RBA rate rises in 2026 vs US and UK in two years

4.85%
RBA cash rate, the highest of the four

Late 2027
When the RBA expects inflation back in its target band

DIAGRAM — The RBA's dilemma with supply-side inflation



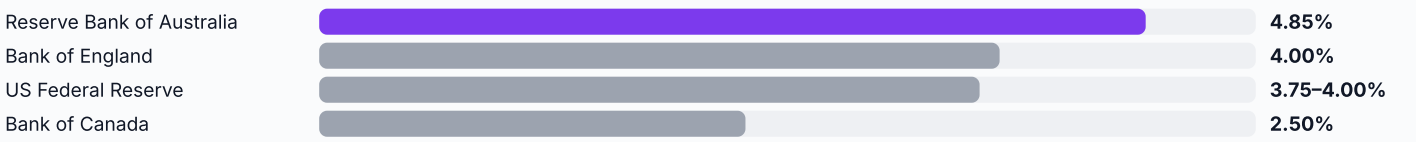
Shortages and higher input costs shift **$SRAS_1$ to $SRAS_2$**: prices rise to **P_2** and output falls to **Y_2**.

Rate rises work on **demand**, shifting **AD_1 to AD_2**. That lowers the price level to **P_3**, but output falls further to **Y_3**, meaning more unemployment.

Rates can't build houses, generate electricity or train workers, so the supply curve itself doesn't move back.

Exam angle: this is a clear **limitation of monetary policy**: it is a demand-side tool facing a supply-side problem. Supply-side (microeconomic) reform and fiscal restraint are needed alongside it.

BAR CHART — Central bank policy rates, November 2026



Source: The Conversation, using BIS data. Fed bar drawn at the midpoint of its target range. Bars scaled to 5.5%.

SYLLABUS LINK

Topic 4 – monetary policy: effectiveness and limitations; microeconomic (supply-side) policy; fiscal policy. Topic 3 – causes of inflation (demand-pull vs cost-push). Topic 1 – comparing other economies.

TRY THIS

Discuss the limitations of monetary policy in reducing inflation caused by supply constraints, and identify other policies that could help. **(6 MARKS)**

The Conversation, Jak Kakhkharov – Inflation is proving more stubborn in Australia than elsewhere, making the RBA's job harder (11 Nov 2026). Uploaded by the teacher.

Diagrams are illustrative, not to scale